

TENTATIVE RULING FOR June 5, 2026

Department S22 – Judge David Driscoll

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CIVSB2209690

Donald J. Watson, Jr. vs Frank Lira, Jr., and Sergio Herrera

TENTATIVE RULING

Currently before this Court are motions seeking issue, evidence and monetary sanctions and a motion to strike the answer against Defendant Goshen Development, Inc. Since the motion for sanctions was also against Dana J. Oliver, Esq., there is a limited opposition on behalf of this counsel.

Plaintiff Donald J. Watson, Jr. (“Plaintiff” or “Watson”) contends he owns property in Rialto, though via a trust, that he desired to rezone for industrial use. Defendant Frank Lira (“Lira”) purportedly agreed to assist in that effort for \$7,500, but then later demanded \$500,000 after the work was complete. Lira also purportedly threatened Watson and then, with the assistance of Defendant Sergio Herrera (“Herrera”, a notary), forged a deed and conveyed himself 50% ownership. The property was then later falsely transferred by Lira to Defendant Goshen Development, Inc. (“Goshen”). Lira also had recorded inter-spousal grant deeds through which his and Watson’s wife allegedly gave up any ownership rights. The property was thereafter transferred to Defendant Chase Fitzgerald, LP (“Chase”) for \$3,550,000 by Lira. Chase also took out a loan against the property with SDP REIT, LLC (“SDP”). (FAC at ¶¶ 26-33, 36-38.)

Watson then commenced suit in May 2022, to quiet title to the property. Through the first amended complaint (“FAC”), Watson asserts claims for: (1) quiet title against Lira, Goshen, Chase, and SDP; (2) declaratory relief against all Defendants; (3) fraud against Lira, Goshen, and Herrera; (4) elder abuse against Lira; and (5) notary misconduct against Herrera.

Pertinent to this motion, the Court granted Plaintiff's February 10, 2025, motion to compel responses to requests for production of documents from Goshen on April 29, 2025 and ordered them to provide responses within 20 days. (See April 29, 2025 Minute Order.) On May 23, 2025, the Court granted Chung & Ignacio, LLP's motion to be relieved as counsel for Goshen.

On August 4, 2026, Dana J. Oliver, Esq., filed a notice of limited scope representation through August 31, 2025, limited to non-dispositive pretrial matters including discovery, and communications with opposing counsel.

On August 18, 2025, the Court granted Watson's motion to compel deposition attendance of Sergio Herrera, without opposition, and the deposition was to be held at Plaintiff's counsel's office on September 12, 2025. (See August 18, 2025 Minute Order.) The Order was signed by the Court on September 12, 2025.

On August 27, 2025, Dana J. Oliver, Esq. filed a notice of substitution for Frank Lira, Jr. and Goshen Development, Inc.

On October 16, 2025, Plaintiff filed a motion to compel the deposition attendance of Goshen Development Chief Financial Officer, Sergio Herrera. On November 19, 2025, Plaintiff filed a motion for an order to compel the deposition attendance of Frank Lira, Jr., for the production of documents and monetary sanctions.

On November 26, 2025, Frank Lira Jr. substituted as counsel for himself in replacement of Dana J. Oliver, Esq. On December 3, 2025, Dana J. Oliver, Esq. filed an ex parte application seeking to advance the date for a hearing for her to be relieved as counsel for Goshen Development, Inc. The Court heard the ex parte on December 5, 2025, advanced the motion to that date and granted the motion to be relieved as counsel for Goshen Development. (See December 5, 2025 Order.)

On December 22, 2025, Watson filed this present motion for issue, evidence and further monetary sanctions against Goshen Development, Inc. and its attorney Dana Oliver, Esq. The motion was filed together with the declaration of Eric Bensamochan, Esq.

On the same day, Plaintiff also moved to strike the answer of Goshen Development, Inc. and to enter its default. The motion also included a declaration of Eric Bensamochan, Esq.

On December 29, 2025, the motion for an order compelling the deposition attendance of Goshen Development's Chief Financial Officer was granted, without opposition, and Sergio Herrera was ordered to appear on January 16, 2026, at Plaintiff's law firm. (See December 29, 2026 Minute Order.) The Court signed the Order on January 16, 2026.

On January 22, 2026, Plaintiff filed an amended notice for issue, evidence and further monetary sanctions against Goshen Development, Inc. with an additional declaration by Eric Bensamochan, Esq.

On February 11, 2026, Plaintiff filed a motion for leave to file a second amended complaint together with the declaration of Eric Bensamochan, Esq. The motion was heard and granted on April 13, 2026 without opposition. The proposed second amended complaint only identifies Frank Lira, Jr. and Sergio Herrera in the caption and only asserts causes of action for: (1) fraud; (2) elder abuse and (3) notary misconduct on the facing sheet, *but the body of the proposed SAC asserts causes of action for (1) quiet title [against Lira, Goshen Development, Chase Fitzgerald, and SDP REIT]; (2) declaratory relief [against all]; (3) fraud [against Lira, Goshen Development, Herrera and Quintero]; (4) elder abuse [against Lira]; (5)*

notary misconduct [against Herrera and Quintero]. The Bensamochan declaration attached to the motion read in part:

5. Defendant Lira has failed to respond to basic discovery. He has twice failed to show up for a deposition. He has failed to produce documents. He has played games, causing three separate attorneys to appear and then file a motion to withdraw. A motion to compel his deposition and produce documents is set for February 18, 2026

6. Defendant GDI has been sanctioned twice for discovery abuses. GDI failed to comply with a court order to produce documents, and violated an order to produce its CFO for deposition. Plaintiff has filed a motion for issue, evidence and further monetary sanctions that is set for March 9, 2019. GDI is currently not represented by counsel – the third time this has happened since it was served with the Verified Complaint. A motion to strike its answer is set for March 16, 2026.

7. Defendant Sergio Herrera did not answer the Verified Complaint and his default has been entered.

8. Herrera has also ignored a court order to appear for a deposition in his individual capacity, and separately failed to appear for a deposition as GDI's Chief Financial Officer.

9. On June 23, 2025, Plaintiff settled the Quiet Title and Declaratory Relief claims with Chase Fitzgerald for monetary consideration. But plaintiff still has uncompensated damages of several million dollars.

10. Given the attitude of Lira and his co-conspirators, it is likely that Plaintiff will have to proceed to judgment against Lira, his fake charity GDI, and the two notaries who betrayed their public office to enable the fraud: (1) Lira's friend Sergio Herrera and (2) his daughter Regina Quintero.

On April 13, 2026, the Court granted the motion to file a second amended complaint without opposition and with twenty (20) days leave to amend. The Second Amended Complaint was filed on May 12, 2026.

Also on February 11, 2026, Plaintiff filed a motion to continue trial which is returnable on May 18, 2026. On February 18, 2026, the Court granted the motion to compel the deposition attendance of Frank Lira, Jr. and for the production of documents and ordered him to appear for deposition at Plaintiff's law firm. The Court also granted sanctions in the amount of \$1,375 against Lira and continued the trial until September 14, 2026. (See February 18, 2026 Minute Order.) The Court signed the Order on March 13, 2026.

On February 24, 2026, Dana J. Oliver, Esq., filed a notice of limited appearance for the purposes of opposing the motion for issue, evidence and monetary sanctions; filed a limited opposition solely on her on behalf to the motion for issue, evidentiary, and monetary sanctions; and her own declaration.

On February 26, 2026, Plaintiff filed a reply. On March 3, 2025, Frank Lira, Jr filed a declaration.

At the request of Defendant Lira during the hearing of May 1, 2026, the court continued the Motions to Strike Answer and for Evidence and Further Monetary Sanctions to June 5, 2026. The Court admonished Defendant Lira that it has been 5 months since counsel for Goshen Development withdrew and that a total of 6 months will have transpired by the date of the next hearing (6/5/26), which the court deems to have been a reasonable time allotted for the procurement of new counsel. (See Minute Order dated 5/1/26). This court impressed upon Mr. Lira the importance of procuring counsel for Goshen before the hearing date of June 5, 2026, essentially indicating to him that his time is up.

The current court register of actions reflects that no counsel purporting to represent Goshen Development has appeared.

Misuse of Discover and Violations of Court Orders

Code Civ. Proc., §2023.030, entitled “Sanctions for misuse of discovery process; Failure to provide electronically stored information,” states:

To the extent authorized by the chapter governing any particular discovery method or any other provision of this title, the court, after notice to any affected party, person, or attorney, and after opportunity for hearing, may impose the following sanctions against anyone engaging in conduct that is a misuse of the discovery process:

- (a) The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney’s fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.
- (b) The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.
- (c) The court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence.
- (d) The court may impose a terminating sanction by one of the following orders:
 - (1) An order striking out the pleadings or parts of the pleadings of any party engaging in the misuse of the discovery process.
 - (2) An order staying further proceedings by that party until an order for discovery is obeyed.
 - (3) An order dismissing the action, or any part of the action, of that party.
 - (4) An order rendering a judgment by default against that party.
- (e) The court may impose a contempt sanction by an order treating the misuse of the discovery process as a contempt of court.
- (f)
 - (1) Notwithstanding subdivision (a), or any other section of this title, absent exceptional circumstances, the court shall not impose sanctions on a party or any attorney of a party for failure to provide electronically stored information that has been lost, damaged, altered, or overwritten as the result of the routine, good faith operation of an electronic information system.
 - (2) This subdivision shall not be construed to alter any obligation to preserve discoverable information.

WEIL & BROWN, CALIFORNIA PRACTICE GUIDE: CIVIL PROCEDURE BEFORE TRIAL [The Rutter Group], ¶ 8:2145, et seq., discusses sanctions and states:

[8:2145] Sanctions for failure to obey Court Order:

Once a party or witness has been ordered to attend a deposition, or to answer discovery, or to produce documents, more severe sanctions are available for continued refusal to make discovery. [See, e.g., CCP §§ 2030.290(c) (motion to compel answers), 2030.300(e) (motion to compel further answers)]

a. [8:2146] “Disobedience” vs. “failure to obey”: Willful “disobedience” must be shown to establish contempt (¶ 8:2440). But for purposes other than contempt, “disobedience” does not require a showing of willfulness. Failure to obey (i.e., noncompliance with the court's order) is all that need be shown. [See *Puritan Ins. Co. v. Sup.Ct. (Tri-C Machine Corp.)* (1985) 171 CA3d 877, 884, 217 CR 602, 606 (interpreting former statute dealing with “refusal” to comply); *Societe Internationale Pour Participations Industrielles Et Commerciales, S.A. v. Rogers* (1958) 357 US 197, 208, 78 S.Ct. 1087, 1094 (interpreting Federal Rule 37)]

CCP § 2023.010(g) makes “disobeying a court order to provide discovery” a “misuse of the discovery process.” In addition, sanctions are authorized by the particular discovery procedure statutes (see ¶ 8:1904), each of which refers to the “failure to obey” language.

(1) [8:2147] Willfulness required for severe sanctions: However, numerous cases hold that severe sanctions (i.e., evidence or terminating sanctions) for failure to comply with a court order are allowed only where the failure was willful. [See *Valencia v. Mendoza* (2024) 103 CA5th 427, 447, 322 CR3d 903, 918 (evidence sanction); *R.S. Creative, Inc. v. Creative Cotton, Ltd.* (1999) 75 CA4th 486, 495, 89 CR2d 353, 360 (terminating sanction); *Vallbona v. Springer* (1996) 43 CA4th 1525, 1545, 51 CR2d 311, 324 (evidence sanction); compare *Aghaian v. Minassian* (2021) 64 CA5th 603, 618-620, 279 CR3d 191, 206-207 (discussing earlier cases holding “absent unusual circumstances, nonmonetary sanctions are warranted only if a party [acts] willfully,” but concluding that willfulness is not required for issue and evidence sanctions under CCP § 2023.030(b) and (c))]

[8:2175] Sanctions available: If a party fails to obey a discovery order, the court may impose whatever sanctions are just, including:

- Issue sanction (¶ 8:2177);
- Evidence sanction (¶ 8:2181);
- Terminating (“doomsday”) sanction (¶ 8:2185);
- Contempt sanction (¶ 8:2440); and
- Money sanctions—in addition to or in lieu of any other sanction (¶ 8:2194).

[8:2176] Reserved.

(1) [8:2177] Issue sanction: The court may order that designated facts “shall be taken as established” by the party adversely affected by the discovery misuse; or it may prohibit the party who committed such misuse from supporting or opposing designated claims or defenses. [CCP § 2023.030(b) (emphasis added)]

Thus, for example, where a party fails to obey an order to answer deposition questions, the court may order the deposing party's claims or defenses established without further proof; or may prohibit the deponent from introducing any evidence to the contrary. [See *Juarez v. Boy Scouts of America, Inc.* (2000) 81 CA4th 377, 387, 97 CR2d 12, 19 (disapproved on other grounds by *Brown v. USA Taekwondo* (2021) 11 C5th 204, 222, 276 CR3d 434, 448, fn. 9)—certain issues held established because of P's failure to answer interrogatories regarding evidence supporting claims pertaining to these issues; *NewLife Sciences v. Weinstock* (2011) 197 CA4th 676, 687, 128 CR3d 538, 547—trial court was entitled to rely on issue sanctions establishing that D breached his employment contract and noncompete clause as basis for issuing preliminary injunction, and D was precluded from presenting contrary evidence]

[8:2178 - 8:2180] Reserved.

(2) [8:2181] Evidence sanction: The court may also prohibit the party (or party-affiliated witness) who disobeyed the court order from introducing designated matters in evidence. [CCP § 2023.030(c); *Valencia v. Mendoza* (2024) 103 CA5th 427, 447-448, 322 CR3d 903, 918-920—no abuse of discretion to exclude evidence not produced in discovery but claimed to have been “found” day before arbitration; *Waicis v. Sup.Ct. (Schwartz)* (1990) 226 CA3d 283, 287, 276 CR 45, 48 (citing text)—no abuse of discretion to bar expert's testimony at trial where expert was repeatedly uncooperative in scheduling his deposition and walked out before it was over to attend “personal meeting”; *Vallbona v. Springer* (1996) 43 CA4th 1525, 1547-1548, 51 CR2d 311, 326—exclusion of records offering party claimed he was unable to produce for discovery because they had been stolen]

Arguments of the Parties

Motion December 22, 2025. The motion seeks:

- (1) An issue sanction that Goshen Development Inc. (“GDI”) is deemed to be the “alter ego” of Defendant Frank Lira, Jr.
- (2) An evidence sanction that there is no evidence that GDI distributed money from the sale of the Fitzgerald Property to Plaintiff; and
- (3) Monetary sanctions in the amount of \$5,500;

This is an action for fraud and related damages. Plaintiff contends Lira stole a valuable undeveloped property by a series of forged and fraudulent deeds and used GDI, a phony charity, to launder money from a sale of the property. Plaintiff propounded requests for production on October 29, 2024 which sought very basic categories of information and no responses were received or documents were produced. Plaintiff filed a motion to compel and for monetary sanctions on February 10, 2025 and **on April 29, 2025, the Court ordered GDI to produce all responsive documents and pay a monetary sanction of \$1,125.00.** The deadline for production was May 19, 2025. Counsel Ignacio moved to be relieved prior to the deadline, which was granted on June 3, 2025. New counsel Dana Oliver substituted in on August 27, 2025, and *GDI finally produced responses and documents four months later on September 6, 2025.* The production was inadequate and amended responses were received a month later. The amended responses did not cure the partial production, produced minimal corporate records, no operating agreement or tax documents, minimal documents from the Fitzgerald sale and only partial banking records.

Plaintiff argues that an “alter ego” finding is an appropriate issue sanction. There is ample record that GDI has intentionally misused the discovery process. The FAC states that GDI and Lira are the alter ego of each other. Factors include commingling of funds, failure to observe corporate formalities and using the form to perpetrate a fraud. (*Messler v. Bragg Management Co.* (1985) 39 Cal.3d. 290.) An evidence sanction that Plaintiff did not receive proceeds from the Sale of the Fitzgerald Property is appropriate. Monetary sanctions are appropriate.

Eric Bensamochan, Esq. submitted a declaration stating in part:

2. For more than a year, Plaintiff has been seeking very basic discovery from Defendant Goshen Development, Inc. (hereinafter "GDI"). A Request to Produce Documents ("RPD") was propounded on October 29, 2024. A true and correct copy of the RPD is attached hereto as Exhibit "A".

...

4. Plaintiff filed a motion to compel documents against GDI and for monetary sanctions on February 10, 2025. That motion was heard on April 29, 2025, The Court ordered that GDI produce all responsive documents, without objection, before May 19, 2025. GDI was sanctioned in the amount of \$1,125.00. (See Notice of Ruling, a true and correct copy of which is attached hereto as Exhibit "B").

6. GDI did not promptly comply with the Court's order. There was a complication as GDI's counsel, Carlo Ignacio, moved to withdraw. That motion was granted on June 3, 2025.

7. Plaintiff was patient awaiting new counsel amidst promises from Frank Lira, Jr. that documents would be forthcoming. Attorney Dana Oliver first filed a Notice of Limited Scope of Representation on August 4, 2025, before filing a Substitution of Attorney to represent GDI on August 27, 2025.

8. GDI finally produced responses and documents four and a half months late, on September 6, 2025. The production was clearly inadequate, and the responses included both general and specific objections. Also, the responses were not issued by Mr. Oliver. The name at the top of the caption is GOSHEN DEVELOPMENT INC. (p. 1, ln. 1). The responses are not signed, but they are verified by Frank Lira, Jr. as the CEO of Defendant (p. 14, lns. 16-17). A true and correct copy of those September 6, 2025 responses are attached hereto as Exhibit "C".

...

12. Mr. Oliver responded by email on September 25, 2025. A true and correct copy is attached hereto as Exhibit "F". He stated: "I'm preparing amended discovery responses on behalf of Goshen to comply with the Court's April 29, 2025 order. They will be served early next week, and in any event no later than October 3, with verification and attorney signature."

13. In fact, it was not until October 6, 2025, that Plaintiff received Amended Responses. (A true and correct copy is attached hereto as Exhibit "G"). The Amended Responses did not contain objections, but there was no additional production of documents and it is clear that GDI has not complied with the Courts' order.

14. Specifically, Plaintiff seeks all formation documents, company operating agreements and statements of corporate officers and directors. GDI produced sixty-one pages of corporate documents. They include an Articles of Incorporation, several Statements of Information, and

documents seeking exempt status from both state and federal taxes. But no company operating agreement or similar document was produced.

15. Plaintiff also seeks all documents regarding the sale of the Fitzgerald property. GDI produced only twenty-nine pages. There is an offer from the buyer, but no executed sale contract. There is only one three page document exchanged between GDI and escrow/title. I have some familiarity with million dollar real estate transactions. There is no way this is all the documents that GDI possessed from the transaction. Communications with escrow and title regarding necessary signatures and authorization to sell seem especially critical in this title fraud case. GDI produced none of those.

16. Plaintiff seeks all documents filed by GDI with the State of California. This includes with the Franchise Tax Board, GDI produced no state tax documents.

17. Most glaring is the production of bank records. Plaintiff seeks all banking records from formation until the day of production. GDI produced two years of records from Bank of America for one account. I am reliably informed that banking records were deliberately withheld from production.

18. Attached hereto as Exhibit "I" is a portion of the GDI monthly statement from Bank of America for checking account '3251 1694 8168. It shows, on page 3, \$3,367,942.88 from the sale of the Fitzgerald property. It also shows three "teller transfers" to other BofA accounts totaling \$ 1,500,000. I am reliably informed that the \$ 1,000,000 transfer to the account noted as "SAV0093" refers to an account also held by GDI. We received no documents related to account "SAV0093".

19. I am also reliably informed that the transfers of \$200,000 to an account noted as "CHK 4435" and \$300,000 to an account noted as "SAV 7060" refers to accounts held by Lira and his wife.

20. On October 10, 2025, I sent a meet and confer letter to Mr. Oliver, a true and correct copy of which is attached hereto as Exhibit "I". I expressed that the production was incomplete and asked some direct questions: (1) What were the "teller transfers" at BofA? (2) Were there other GDI bank accounts? and (3) Why were state tax filings not produced (or were taxes not filed)?

21. I never received a response to this letter from Dana Oliver. The next I heard from him was a Substitution of Attorney on November 11, 2025, indicating he no longer represented Frank Lira, Jr. There was also an email that Mr. Oliver would file a motion to be relieved as GDI's counsel. That motion was filed on November 20, 2025.

22. In this motion, Plaintiff seeks monetary sanctions in the amount of \$5,500.00 against both GDI and it's attorney, Dana Oliver.

...

27. I totally understand that Mr. Oliver is representing a bad actor, a fact that would have been apparent by even a casual review of the pleadings before he stepped into the case. And it is true that even criminals are entitled to representation in the courts. It happens every day. But once an attorney represents a party to litigation, he has obligations of professionalism to the court and opposing counsel. I believe Dana Oliver has fallen short of that standard, and should be sanctioned accordingly.

Amended Notice filed on January 22, 2026 [only served on Lira and GDI, not on Oliver]. In the amended notice, Plaintiff noted that on December 29, 2025, the Court ordered Goshen Development, Inc. to produce its CFO for a deposition on January 16, 2026. The witness did not appear and there was no contact from the Defendant as to why. This reflects a continuing and deliberate violation of the Court's order by GDI. **Plaintiff seeks additional sanction for the cost of the Court reporter's transcript bringing the monetary total to \$7,055.00.**

Opposition. Dana J. Oliver, Esq. submitted a limited opposition as to the request for money damages against him personally. He does not represent Goshen. The April 29, 2025, Order predated his representation. Oliver substituted in this case on August 27, 2025, responded to correspondence, served amended verified response on October 2, 2025, and continued to engage in meet and confer efforts. There is no willful violation of a Court order.

In support of the limited opposition, Oliver submitted a declaration stating:

1. I am an attorney licensed to practice in the State of California. I was counsel of record for Defendant Goshen Development, Inc. ("Goshen") from August 27, 2025 until the Court granted my motion to be relieved on December 5, 2025....
2. On April 29, 2025, the Court granted Plaintiff's Motion to Compel and ordered Goshen to serve responses without objections within 20 days. I was not counsel of record at that time. The 20-day deadline expired in May 2025, prior to my substitution into the case.
3. On or about September 6, 2025, documents were transmitted by Goshen directly to Plaintiff's counsel via Office Depot. That transmission was not prepared or issued by my office.
4. On September 17 and September 23, 2025, Plaintiff's counsel sent correspondence regarding alleged deficiencies in production. On September 25, 2025, I responded in writing, indicated I was reviewing the issues raised, and informed counsel that amended responses would be served no later than October 3, 2025. A true and correct copy of my September 25, 2025 email is attached as EXHIBIT 1.
5. On October 2, 2025, amended, verified responses were served. A true and correct copy of the October 2, 2025 transmittal email is attached as EXHIBIT 2.
6. Plaintiff's declaration states that amended responses were not served until October 6, 2025. As reflected in Exhibit 2, the amended responses were transmitted on October 2, 2025.
7. On October 10, 2025, Plaintiff's counsel sent a letter requesting a response by October 20, 2025. A true and correct copy of that letter is attached as EXHIBIT 3.
8. On October 20, 2025, I responded by email within the timeframe referenced in Plaintiff's October 10, 2025 letter. A true and correct copy of that email is attached as EXHIBIT 4. Plaintiff's declaration asserts that no response was received to the October 10 letter. As reflected in Exhibit 4, a response was sent on October 20, 2025.
9. I did not advise my client to disregard the Court's April 29, 2025 order, and I did not engage in conduct intended to avoid compliance with any court order.

10. In preparing and serving discovery responses, I relied on documents and information provided to me by my client.

11. On November 6, 2025, I prepared a Substitution of Attorney as to Mr. Lira individually. Shortly thereafter, I initiated proceedings to be relieved as counsel for Goshen Development, Inc. due to breakdown in the attorney-client relationship.

12. The Court granted my motion to be relieved on December 5, 2025.

13. I have never engaged in willful misuse of the discovery process in this matter.

Reply. The reply states that Goshen Development, Inc. has failed to pay prior monetary sanctions in the amount of \$1710.00, which were due on February 15, 2026, which should also be considered in assessing the amount of sanctions on this motion.

March 3, 2026 Decl. of Frank Lira, Jr. in support of Dana J. Oliver's opposition. Filed after Reply. On November 15, 2024, he was notified by Carlos G. Ignocio, Esq., who was representing Goshen, received a request for production. As CEO, he located and gathered the documents and delivered them on January 10, 2025. On February 20, 2025, he was informed that Plaintiff had filed a motion to produce the same documents he delivered to Mr. Ignocio. Mr. Ignocio conferred with his secretary but could not locate the documents. Ignocio said things would be fine, but the relationship broke down. On April 29, 2025, he tried to explain to the Court that Ignocio was unable to locate the documents he provided, but was shut down by the Court that Goshen needed to be represented by counsel. Ignocio filed a motion to be relieved and withdraw on June 16, 2025 and promised he could pick up the documents in two weeks. He finally got them on August 28, 2025. He transmitted the documents to Plaintiff on September 6, 2025. He has not acted in bad faith or refused to comply. He has not been served any new order compelling sanctions.

Analysis

On April 29, 2025, the Court granted the motion to compel production of documents filed by Plaintiff. Goshen was directed to provide responses, without objections within 20 days. (See April 29, 2025 Minute Order.) Oliver was not counsel at the time. Mr. Ignacio was counsel. The Court granted Mr. Ignacio's request to withdraw on May 23, 2025. Mr. Oliver substituted into this proceeding in August 2025. Mr. Bensamochan stated that GDI provided responses and documents on September 6, 2025, and verified responses were finally filed in October 2025 pursuant to Mr. Bensamochan's declaration (See Decl., ¶ 13 [disputed with Oliver about 2 or 6th, see Oliver Decl., ¶¶ 5-6.]) Mr. Bensamochan claimed the amended responses did not contain objections but there was no additional production. He tried to meet and confer (See Bensamochan Decl., Ex. H) but did not file a motion to compel further responses. That would have been the logical next step. Instead, this motion was filed in December.

The Court will deny sanctions as against Oliver, personally. Oliver was not counsel at the time the April 2025 order was issued, substituted into this action in August 2025 and helped GDI provide verified responses by October 2025, and told counsel he was resigning in November 2025 and whose motion to be relieved was granted in December 2025.

As for GDI, the motion is unopposed. The Court denies the motion as to an issue sanction that Goshen Development Inc. ("GDI") is deemed to be the "alter ego" of Defendant Frank Lira, Jr. and an evidence sanction that there is no evidence that GDI distributed money from the sale of the Fitzgerald Property to

Plaintiff. GDI originally failed to comply with discovery, but verified responses to the requests for production were served in October 2025. If the Plaintiff was not satisfied with the responses, Plaintiff should have moved to compel *further responses*, which he failed to do. The Code of Civil Procedure has a procedure for dealing with these situations. (See Code Civ. Proc., §2031.310, et seq.)

Written discovery aside, there remains the court's order compelling the deposition of GDI's CFO which was granted and Herrera failed to appear.

Doppes v. Bentley Motors, Inc. (2009) 174 Cal.App.4th 967, 992

The trial court has broad discretion in selecting discovery sanctions, subject to reversal only for abuse. (*Reedy v. Bussell* (2007) 148 Cal.App.4th 1272, 1293 [56 Cal. Rptr. 3d 216] (*Reedy*); *Miranda v. 21st Century Ins. Co.* (2004) 117 Cal.App.4th 913, 928–929 [12 Cal. Rptr. 3d 159].) The trial court should consider both the conduct being sanctioned and its effect on the party seeking discovery and, in choosing a sanction, should “‘attempt[] to tailor the sanction to the harm caused by the withheld discovery.’” (*Do It Urself Moving & Storage, Inc. v. Brown, Leifer, Slatkin & Berns* (1992) 7 Cal.App.4th 27, 36 [9 Cal. Rptr. 2d 396].) The trial court cannot impose sanctions for misuse of the discovery process as a punishment. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 488 [282 Cal. Rptr. 530], disapproved on another ground in *Garcia v. McCutchen* (1997) 16 Cal.4th 469, 478, fn. 4 [66 Cal. Rptr. 2d 319, 940 P.2d 906].)

The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination. “Discovery sanctions ‘should be appropriate to the dereliction, and should not exceed that which is required to protect the interests of the party entitled to but denied discovery.’” (*Laguna Auto Body v. Farmers Ins. Exchange, supra*, 231 Cal.App.3d at p. 487.) If a lesser sanction fails to curb misuse, a greater sanction is warranted: continuing misuses of the discovery process warrant incrementally harsher sanctions until the sanction is reached that will curb the abuse.

Here, it does appear that GDI is abusing the discovery statutes. However, the requested issue sanctions that Goshen Development Inc. (“GDI”) is deemed to be the “alter ego” of Defendant Frank Lira, Jr. and an evidence sanction that there is no evidence that GDI distributed money from the sale of the Fitzgerald Property to Plaintiff, is too great at this point. The Court is inclined to issue additional increased monetary sanctions at this juncture. The Court intends to grant the motion to the extent of awarding Plaintiff \$7,055 as requested in the amended notice of motion as a monetary sanction against GDI only.

Motion to Stike Answer of Goshen Development and Enter its Default.

This motion is unopposed. The motion is made on the ground that a corporation cannot represent itself and must be represented by counsel. GDI was added to the first amended verified complaint on June 9, 2023 and answered on March 5, 2024.

Analysis.

A corporation cannot appear in propria persona. (*Merco Constr. Engineers, Inc. v. Municipal Court* (1978) 21 Cal.3d 724.) An agent appearing on behalf of a corporation would be practicing law without a license (*Merco, supra*, 21 Cal.3d at 731) and the court should therefore not accept an appearance by an agent of the corporation. An appearance by a corporation in pro per is a void act. (*Paradise v. Nowlin* (1948) 86 Cal.App.2d 897 at 898; cited by *People v. Fraser* (2006) 138 Cal.App.4th 1430, 1450.) A pleading must be signed by at least one attorney of record or a party. (Code Civ. Proc., §128.7, subd. (a).)

As stated in *Caressa Camille, Inc. v. Alcoholic Beverages Control Appeals Bd.* (2022) 99 Cal.App.4th 1094, 1101-1102:

As a general rule, it is well established in California that a corporation cannot represent itself in a court of record either in propria persona or through an officer or agent who is not an attorney. (*Merco Constr. Engineers, Inc. v. Municipal Court* (1978) 21 Cal. 3d 724, 727, 729, [147 Cal. Rptr. 631, 581 P.2d 636] (*Merco*); *Vann v. Shilleh* (1975) 54 Cal. App. 3d 192, 199, [126 Cal. Rptr. 401]; *Paradise v. Nowlin* (1948) 86 Cal. App. 2d 897, 898, [195 P.2d 867] (*Paradise*); see also *Van Gundy v. Camelot Resorts, Inc.* (1983) 152 Cal. App. 3d Supp. 29, 31, 152 Cal. App. 3d Supp. 29, [199 Cal. Rptr. 771].)

One of the principal rationales for the general rule is found in the California Supreme Court's explanation in *Merco, supra*, 21 Cal. 3d at page 730, that "[t]he qualifications of the human representing a corporation--or for that matter any other person or entity--in court is one of vital judicial concern. Such person is clearly engaged in the practice of law in a representative capacity." The high court further explained that in a court of record "formal rules of procedure and evidence are to be observed by representatives of the parties, and the court is entitled to expect to be aided in resolution of the issues by presentation of the cause through qualified professionals rather than a lay person." (*Id.* at p. 732.)

The Court of Appeal in *Paradise, supra*, 86 Cal. App. 2d at page 898, explained another rationale for the general rule: "A natural person may represent himself and present his own case to the court although he is not a licensed attorney. A corporation is not a natural person. It is an artificial entity created by law and as such it can neither practice law nor appear or act in person. Out of court it must act in its affairs through its agents and representatives and in matters in court it can act only through licensed attorneys. A corporation cannot appear in court by an officer who is not an attorney and it cannot appear in propria persona. [Citations.]"

As an exception to the foregoing general rule, corporations may be represented in small claims courts by certain persons who are not members of the State Bar. (*Merco, supra*, 21 Cal. 3d at p. 730.) Such lay representation is authorized by statute (Code Civ. Proc., § 116.540, subd. (b)), as interpreted and approved by court decision. This exception to the general rule is consistent with the purpose of providing quick, impartial and inexpensive adjudication of disputes in small claims courts under rules of procedure and evidence that are less stringent and complicated than those that apply in more formal courts of record.

GDI is not represented by counsel due to the December 2025 granting of Oliver's motion to be relieved. As noted by *Ferruzzo v. Sup. Ct.* (1980) 104 Cal.App.3d 501, 504):

The effect of withdrawal is to leave the corporation without representation and without the ability to practice self-representation. For the uncooperative corporate client who has not been willing to bring in new counsel, granting of the withdrawal motion will put extreme pressure on it to obtain new counsel of record for should it fail to do so it risks forfeiture of its rights through nonrepresentation.

GDI is not represented by counsel currently. Their answer, filed March 5, 2024, was filed by Lira as president, not by counsel. As noted in the Bensamochan declaration,

4. GDI answered GDI answered Plaintiff's Verified First Amended Complaint on March 5, 2024, but it did so without representation by counsel.

5. On May 7, 2024, Plaintiff filed a Motion to Strike Answer of Goshen Development, Inc.

6. Attorney Carlo Ignacio stepped in to represent GDI on August 8, 2025, and the court ruled Plaintiff's motion was moot. Mr. Ignacio soon had problems responding to basic discovery directed at GDI. He repeatedly promised responses and documents that were not delivered.

7. With motions to compel pending, Mr. Ignacio filed a motion to be relieved on April 29, 2025. That motion was granted on May 23, 2025.

As stated above, subsequent counsel, Dana Oliver, appeared in the case for GDI and then was relieved as counsel December 5, 2025. The court has admonished Defendant Lira on multiple occasions that he cannot appear in court on behalf of GDI because he is not an attorney. Mr. Lira has acknowledged and has been aware of this requirement throughout the pendency of this case. He has filed declarations explaining that he has experienced difficulties procuring counsel due to family matters, e.g. illnesses and deaths, and several attorneys have otherwise declined to represent GDI. The court advised Mr. Lira that 6 months is a reasonable amount of time in which to secure counsel and that the court will be inclined to strike the Answer filed by him on behalf of GDI at the present hearing unless there has been an extreme change of circumstances precluding representation by an attorney.

Since the original answer to the complaint was not filed by counsel, and GDI is not represented by counsel, the Court will grant the motion to strike the answer.

TENTATIVE RULING

1. The court denies the motion for sanctions as to Dana Oliver.
2. The court denies the motion for evidentiary and issue sanctions.
3. The court grants the motion for monetary sanctions against GDI for \$7,055, in addition to previous assessments of monetary sanctions.
4. The court grants the motion to strike the answers filed by Lira on behalf of GDI (3/5/24 (2) and 1/29/24) and hereby enters a default as against defendant Goshen Development, Inc. as to all complaints, amended complaints and cross-complaints.